



STUDY GUIDE • IEUMUN 2026

WTO

World Trade Organization

Balancing National Security and Free Trade in an Era of Geopolitical Tension

CHAIRS

Farhan, Céline & Yassine

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Letter from the Chairs

A LETTER FROM

Farhan, Céline, and Yassine

Dear Delegates,

Welcome to the World Trade Organization committee at IEUMUN 2026! We are honoured to serve as your chairs, and cannot wait to hear the arguments, alliances and solutions you will develop throughout this conference. As this is a beginner committee, we've designed both the topic and the pace of debate to be approachable regardless of your prior MUN experience, so don't let unfamiliarity hold you back from diving in.

The postwar trading system was built on a wager: that economic interdependence would make conflict too costly to pursue. That wager is now being tested like never before. From the collapse of the Appellate Body to the return of industrial policy, from semiconductor export controls to the invocation of Article XXI as a blank check, this committee sits at the fault line between two competing visions of the global economy. One vision is based on the idea that no state can unilaterally rewrite its own obligations; the other that sovereignty and security come first, rules be damned. We chose this topic because it forces us, and you, to recognize both truths at once: national security is a legitimate concern, but the exception built to protect it now threatens to swallow the rule itself.

This study guide is meant to be your starting point, not your finish line. We have laid out key terms, the history, the current situation, and bloc positions as fairly as we can, but this committee will only be as rich as the research you conduct beyond this document. We strongly encourage you to look into your country's actual position,

particularly regarding Article XXI, the Appellate Body crisis, and recent export control measures. The *further reading* and *bibliography* of this study guide can help you get started.

In committee this November, we hope to see rigorous debate and real collaboration. This is a technical topic, and one where genuine compromise is possible. We will be there to guide you through the days of Rules of Procedure (RoP), ensuring an orderly, respectful (and fun!) debate, and to help you build both your case and your confidence as delegates.

We look forward to meeting you all and seeing what we can build together.

Your Chairs,

Farhan, Céline, and Yassine

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List of Abbreviations

CBAM	Carbon Border Adjustment Mechanism
DPI	Digital Public Infrastructure
DSB	Dispute Settlement Body
DSU	Dispute Settlement Understanding
EIR	Enhanced Integration Framework
EU	European Union
FAO	Food and Agriculture Organisation
FDI	Foreign Direct Investment
GATS	General Agreement on Trade in Services
GATT	General Agreement on Tariffs and Trade
IMF	International Monetary Fund
LDC	Least Developed Country
MFN	Most-favoured Nation

MPIA	Multi-Party Interim Appeal Arbitration Arrangement
OECD	Organization for Economic Co-operation and Development
TBT	Agreement on Technical Barriers to Trade
TRIMS	Agreement on Trade-Related Investment MEasures
TRIPS	Agreement on Trade-Related Aspects of Intellectual Property Rights
UN	United Nations
WB	World Bank
WCO	World Customs Organization
WIPO	World Intellectual Property Organization
WTO	World Trade Organisation

03

About the Committee

History

The World Trade Organization (WTO) was founded on the 1st of January, 1995, in accordance with the 1994 Marrakesh Agreement. Its precursor, the General Agreement on Tariffs and Trade (GATT), was established through a multilateral treaty between 23 countries in 1947, and it mainly delineated rules for the international trade in goods with specific focus on the gradual reduction of tariffs.¹ The original concept of an international trade organization as a third institution to complement the World Bank and the International Monetary Fund (IMF) was excluded after negotiations came to an end in 1950. Hence, only the GATT remained as a framework administering international trade. However, owing to changing circumstances and trade policies, the rules of GATT were subject to constant amendments and appendices. The negotiations in which these modifications were discussed and decided upon are referred to as 'rounds'.²

The establishment of the WTO is regarded to have marked the biggest reform of international trade since the end of World War II.³ It superseded GATT as the most relevant organization⁴ and pioneered several changes to the system, such as the introduction of rules on the trade in services, for intellectual property, agriculture, textiles, and the addition of a mandatory and binding dispute settlement mechanism.⁵ Thus, all Agreements related to the trade in goods, such as the GATT, the Agreement on Technical Barriers

¹ WTO. (2025a). WTO | Tariffs. Wto.org. https://www.wto.org/english/tratop_e/tariffs_e/tariffs_e.htm

² WTO. (n.d.). Appendix 1: GATT Part IV – Trade and development [Report]. In The General Agreement on Tariffs and Trade: Part IV – Trade and Development. Commonwealth iLibrary.

³ WTO (2025). WTO | the History of Multilateral Trading System. Wto.org. https://www.wto.org/english/thewto_e/history_e/history_e.htm

⁴ The GATT organization is now referred to as GATT 1947 while the current Agreement will from now on be called 'GATT'.

⁵ WTO. (2024). Understanding the WTO - the Uruguay round. Wto.org. https://www.wto.org/english/thewto_e/watis_e/tif_e/fact5_e.htm

to Trade (TBT), the Agreement on Trade-Related Investment Measures (TRIMS), the General Agreement on Trade in Services (GATS), and the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) were integrated into the Annex 1 of the Marrakesh Agreements. This brought all these treaties within the framework of the WTO, ensuring that the Ministerial Conference (MC) has the authority to amend all of them, alongside making the interpretation of all disputes related to them subject to the Dispute Settlement Understanding (DSU).⁶ As of 31 December 2024, member countries have referred 631 trade disputes for settlement to the Dispute Settlement Body (DSB).

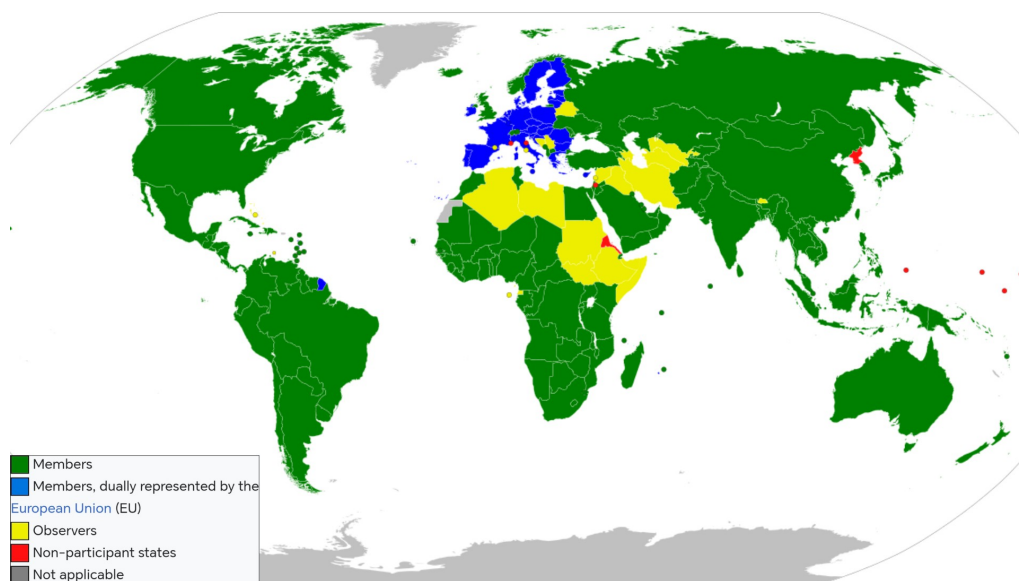


Figure 1. WTO Members and Observers (2026). Source: BlankMap-World6

At present, 166 countries are members of the WTO, which collectively represent about 98% of the world's international trade. Moreover, 23 governments are qualified as observer governments, meaning that they must initiate accession negotiations within five years of being acknowledged thusly (with the Holy See being an exception). International intergovernmental organizations, such as the United Nations (UN), Food and Agriculture Organization (FAO), World Bank (WB), and World Intellectual Property Organization (WIPO) among others, can also be granted the status as an observer which enables them to follow discussions on matters directly relevant to them.⁷

⁶ WTO. (2017). WTO | legal texts - Marrakesh Agreement. Wto.org. https://www.wto.org/english/docs_e/legal_e/marrag_e.htm

⁷ WTO. (2024a). WTO Members and Observers. Wto.org; World Trade Organization. https://www.wto.org/english/thewto_e/whatis_e/tif_e/org6_e.htm

Mandate

The WTO has multiple functions: it manages a global system of trade rules, it serves as a platform for negotiating trade agreements, it resolves trade disputes between its members, and it supports the developing countries to improve their capacity to trade. All in all, the WTO is the only international organization addressing the rules of trade between nations by assisting its members in using trade as a means to raise living standards, generate employment, and enhance people's lives.

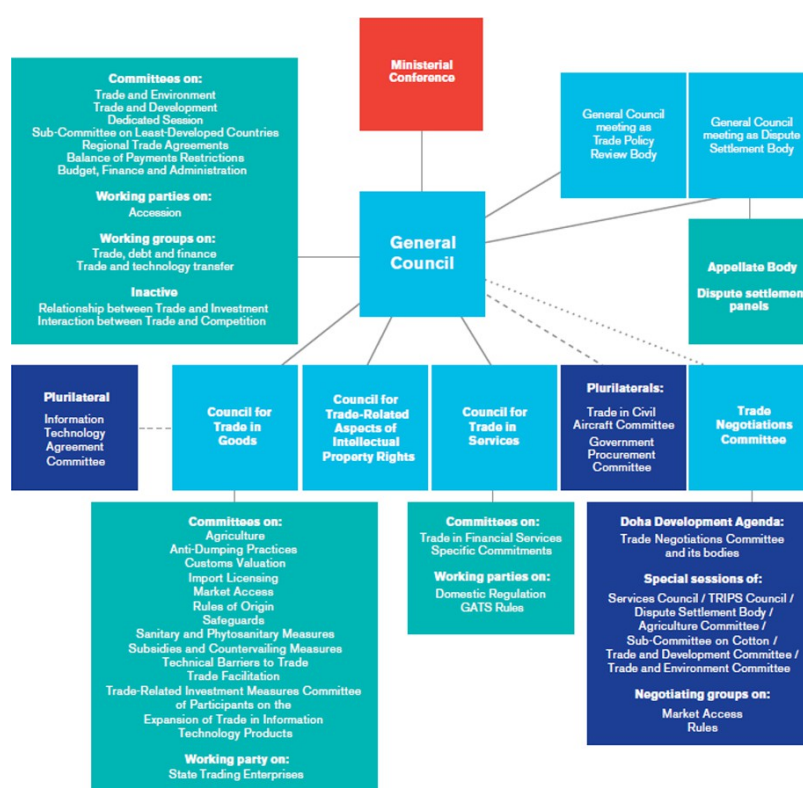


Figure 2. Organizational Structure of the WTO. Source: WTO, 2025

At the core of the system, which is also known as the multilateral trading system, lie the WTO's agreements, which are the legal foundations of global trade. These are negotiated and signed by a large majority of the world's trading economies, and ratified in their parliaments. These agreements oblige governments to make their trade policies transparent by notifying the WTO about laws and measures that have been adopted by them and are currently in effect. Besides, all WTO member countries must undergo routine scrutiny of their trade policies and practices, and each of such reviews will contain reports by the WTO secretariat and the country concerned. To sum it up, WTO's agreements facilitate a non-discriminatory trading system for its members by explicating their rights and their obligations.

To implement the rules, and therefore ensure the smooth flow of trade, the WTO's procedure for resolving trade disputes under the DSU is indispensable. Disputes are brought to the WTO by governments if they deem their rights under the agreements to have been violated, following which judgements based on interpretations of the agreements and individual members' commitments are given by specially appointed independent experts. Most of the time, the system urges members to resolve their conflicts through mutual consultation. However, if such a setting is unachievable, or if it proves to be unsuccessful, they can opt for a step-by-step procedure that comprises the possibility of a ruling by a panel of experts.

More than three-quarters of WTO members are developing economies or least-developed countries (LDCs). All WTO agreements have special provisions for them, which include steps to expand their trading opportunities, longer durations to fulfill commitments, and assistance in developing the infrastructure required to participate in global trade. Hundreds of training activities for developing countries are arranged by the WTO annually. It organizes technical cooperation missions to developing economies and holds many trade policy courses every year in Geneva for government officials. Prominent among the programmes by the WTO for the developing countries are the Aid for Trade initiative and the Enhanced Integration Framework (EIF), which are in effect to assist these economies in building trade capacity and using it as an engine for growth, sustainable development, and poverty reduction.

To summarize, guided by the fundamental principles of non-discrimination, predictability, transparency, sustainability, and freer trade, the WTO caters to its objective with the mandate of monitoring trade agreements, settling trade disputes, building the trade capacity of developing economies, and cooperating with other international organizations.

04

About the Topic

Key Terms

Protectionism – The use of government policies such as tariffs, subsidies, import quotas or other restrictions placed on the imports of foreign competitors to shield domestic industries. While protectionism may serve short-term economic or political goals, it is broadly in tension with the WTO's foundational commitment to open and non-discriminatory trade.

Most-Favoured Nation (MFN) – A core non-discrimination principle of the WTO (see GATT Article I) requiring that any trade advantage granted by one member to another must be extended equally to all WTO members. MFN treatment ensures no trading partner is disadvantaged relative to any other without a legal justification.

National Treatment – A complementary non-discrimination principle of the WTO (see GATT Article III) mandating that once imported goods have entered a market, they must be treated no less favourably than equivalent domestically produced products. National treatment prevents governments from using domestic regulation as a covert form of protectionism.

GATT Article XXI — Article XXI “The Essential Security Exception” permits member states to deviate from their trade obligations when they consider it necessary for the protection of their “essential security interests”. It remains the most contested provision in contemporary WTO law, specifically the scope of this exception and whether it is subject to independent review.

Export Controls – Government-imposed restrictions on the sale, transfer, or re-export of specific goods, technologies or software to foreign buyers, typically justified on national security or foreign policy grounds. Export controls have expanded dramatically since 2022, particularly in the semiconductor and advanced technology industries.

Dual-Use Goods – Products, materials, software, or technologies that have both legitimate civilian applications and potential military or strategic uses. The classification and regulation of dual-use goods is a central challenge in balancing open trade with national security imperatives.

Dispute Settlement Body (DSB) – the WTO organ responsible for administering the rules and procedures governing the resolution of trade disputes between member states. The DSB has the authority to establish panels, adopt panel and Appellate Body reports, and authorise retaliatory measures in the event of non-compliance.

Appellate Body – A standing seven-member tribunal that hears appeals from panel rulings issued by the DSB. Since December 2019, the Appellate Body has been non-functional due to the United States blocking the appointment of new members, creating a systemic enforcement gap within the WTO dispute settlement system.

De-risking vs. Decoupling – Two distinct but related concepts describing how states are restructuring their economic relationships with geopolitical rivals. Decoupling implies a comprehensive severance of economic ties; de-risking refers to a more targeted reduction of strategic dependencies while maintaining broader trade relationships. The distinction has become central to EU-China and US-China policy debates.

Industrial Policy – State intervention designed to develop, support, or protect strategically important domestic industries, often through subsidies, tax incentives, or public investment. Recent examples include the United States' CHIPS and Science Act (2022) and the European Union's Green Deal Industrial Plan, both of which have raised questions about WTO subsidy rules.

Economic Coercion – The deliberate use of trade or economic measures by one state to pressure another into changing its political behaviour or policy positions, without resorting to military force. Economic coercion occupies a grey zone in WTO law, as it may involve measures that technically comply with trade rules while being politically motivated.

Friendshoring / Nearshoring – The restructuring of global supply chains to prioritise trade and production within networks of politically aligned or geographically proximate partners. Friendshoring reflects a growing preference for supply chain security over pure economic efficiency and poses significant questions for the WTO's MFN obligations.

Introduction to the Topic

A System Built on an Unresolved Tension

The world trading system was built on a foundational premise: that open, rules-based trade promotes both economic prosperity and peace between nations. Since the establishment of GATT in 1947 and the creation of the WTO in 1995, this premise has underpinned a remarkable expansion of global commerce. Yet the system has always contained a deliberate tension at its core. Alongside its commitments to non-discrimination and market openness, GATT Article XXI permitted member states

to deviate from their trade obligations to protect their essential security interests.⁸ For decades, this provision remained largely unused. Today, it sits at the

Industrial Policy and the Return of Protectionism Geopolitical rivalry is driving a wider adoption of industrial policy as a mainstream instrument of statecraft. The United States' CHIPS and Science Act, the European Union's Green Deal Industrial Plan, and China's Made in China 2025 strategy all involve substantial state subsidies directed at strategic industries, raising serious questions under WTO subsidy rules.⁹ Simultaneously, the restructuring of supply chains along political lines through friendshoring and nearshoring is fragmenting the integrated global economy that the WTO was designed to sustain. These trends put developing nations in a particularly vulnerable position as they risk being excluded from the supply chains and centre of the most consequential crisis in the WTO's history.¹⁰

investment flows that major powers are redirecting among themselves.¹¹

The Abuse of the National Security Exception

From GATT's founding in 1947 until 1994, Article XXI was formally invoked in only one dispute. Since 1995, there have been fourteen requests for panel establishment on national security grounds, the overwhelming majority of which were filed after 2019, marking a movement towards protectionism.¹² Article XXI grants member states broad discretion to determine what constitutes an essential security interest, creating a loophole that, if left unchecked, risks hollowing out the WTO's entire non-discrimination framework. Allowing members to retain complete autonomy over the use of exceptions could lead to a surge in protectionist measures masquerading as security policies, fundamentally undermining the very predictability and openness that the WTO was designed to guarantee.¹³

⁸ ARTICLE XXI Security Exceptions. (n.d.). In Analytical index of the GATT (pp. 599–610). https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/art21_e.pdf

⁹ Maruyama, W., & Wolff, A. Wm. (2023). Saving the WTO from the national security exception. Peterson Institute for International Economics.

¹⁰ Maruyama, W., & Wolff, A. Wm. (2023). Saving the WTO from the national security exception. Peterson Institute for International Economics.

¹¹ Long, T. (2026, April 1). Decoupling risks: How semiconductor export controls could harm US chipmakers and innovation. ITIF. <https://itif.org/publications/2025/11/10/decoupling-risks-semiconductor-export-controls-harm-us-chipmakers-innovation/>

¹² Mavroidis, P. C. (n.d.). Litigating national security in the WTO era. Columbia Law School Scholarship Archive. https://scholarship.law.columbia.edu/faculty_scholarship/4656/

¹³ The "National Security Exception" and the World Trade Organization. (n.d.). Congress.gov | Library of Congress. <https://www.congress.gov/crs-product/LSB10223>

The Collapse of the Dispute Settlement System

The WTO's ability to rule on disputes has been severely compromised. Since December 2019, the Appellate Body has been non-functional, leaving appeals filed by member states unresolved and stripping panel rulings of their binding legal force (Mavroidis, n.d.). The United States, whose blocking of Appellate Body appointments caused the crisis in the first place, went further still, formally declaring in January 2023 that it had been a mistake to allow national security measures to be brought before the WTO at all.¹⁴ This position, if accepted, would transform the WTO from a binding legal system into one in which the most powerful members can opt out of their obligations at will.

Semiconductors and Economic Decoupling

The tension between national security and free trade is nowhere more acute than in the technology sector. Advanced semiconductors are fundamental to artificial intelligence, defence systems and telecommunications infrastructure. Policymakers now consider semiconductor supply chains to be a matter of national survival rather than commercial competition. As of 2022, the United States has progressively tightened chip export controls, with the Trump administration blacklisting dozens of additional Chinese entities in March 2025.¹⁵ In response, China has introduced its own export controls on dual-use materials and established a \$47.5 billion domestic chip investment fund, accelerating the process of technological decoupling, which sits uneasily within the WTO's foundational principles of non-discrimination and market openness.¹⁶

At the heart of this committee's debate lies a fundamental conflict between two visions of global trade governance: on one side, a rules-based multilateral order where no state can unilaterally define its own obligations. On the other hand, there is a sovereignty-first security logic, in which states assert the right to act on national security grounds, regardless of their commitments to the WTO. The central challenge delegates must address is striking a workable balance between these two logics, one that takes genuine security concerns seriously without allowing security to become an all-purpose justification for protectionism.

¹⁴ Lester, S. (2025, September 9). The U.S. proposal on how to handle disputes on essential security measures. International Economic Law and Policy Blog. <https://ielp.worldtradelaw.net/2024/12/the-us-proposal-on-how-to-handle-disputes-on-essential-security-measures/>

¹⁵ Reinsch, W. A., & Caporal, J. (2025, November 17). The WTO's first ruling on national security: What does it mean for the United States? CSIS. <https://www.csis.org/analysis/wtos-first-ruling-national-security-what-does-it-mean-united-states>

¹⁶ Long, T. (2026, April 1). Decoupling risks: How semiconductor export controls could harm US chipmakers and innovation. ITIF. <https://itif.org/publications/2025/11/10/decoupling-risks-semiconductor-export-controls-harm-us-chipmakers-innovation/>

History of the Topic

The origins of this tension of national security and free trade in an era of geopolitical tension go back to the founding of the multilateral trading system, GATT, itself. GATT's roots lie in the 1944 Bretton Woods Conference, which sought to stabilise post-war economic order after the catastrophic 1930s, a decade defined by competitive devaluations, protectionist spirals and the economic nationalism that contributed to the Second World War. When GATT entered into force in 1948, Article XXI was included as a safety net, recognising that states would never accept trade commitments that left them unable to respond to dire security threats.¹⁷ It was considered a last resort, not a routine policy tool. By the time the WTO replaced GATT in 1995, 125 nations had signed onto a system governing 90% of world trade, yet Article XXI had been formally invoked only once in nearly half a century.¹⁸

The post-1995 period saw this equilibrium unravel rapidly. China's accession to the WTO in 2001 marked a turning point, integrating the largest emerging economy while planting seeds of the strategic rivalry that now defines global trade politics. The 2018 imposition of US Section 232 tariffs on steel and aluminium on national security grounds triggered an unprecedented wave of Article XXI invocations and WTO challenges. It exposed the inadequacy of existing rules to manage security-justified trade measures.¹⁹ Consequently, the Appellate Body collapsed in December 2019, removing the system's last credible enhancement mechanism and leaving the dispute settlement architecture effectively paralysed when it was most critical. Since then, the escalation of US-China technology controls, the spread of industrial policy across major economies, and the fracturing of global supply chains along geopolitical lines have turned Article XXI from an obscure legal anomaly to the central question facing the multilateral trading system.²⁰

¹⁷ ARTICLE XXI Security Exceptions. (n.d.). In Analytical index of the GATT (pp. 599–610). https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/art21_e.pdf

¹⁸ Britannica Editors. (2026, May 7). General Agreement on Tariffs and Trade (GATT). Encyclopedia Britannica. <https://www.britannica.com/topic/General-Agreement-on-Tariffs-and-Trade>

¹⁹ Reinsch, W. A., & Caporal, J. (2025, November 17). The WTO's first ruling on national security: What does it mean for the United States? CSIS. <https://www.csis.org/analysis/wtos-first-ruling-national-security-what-does-it-mean-united-states>

²⁰ Maruyama, W., & Wolff, A. Wm. (2023). Saving the WTO from the national security exception. Peterson Institute for International Economics.

05

Past Actions

Article XXI of the General Agreement on Tariffs and Trade (GATT) 1994 (Security Exceptions), Article XIV bis of the General Agreement on Trade in Services (GATS), and Article 73 of the WTO Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS): Together, these three instruments form a comprehensive *security exception triad* within the framework of the WTO. Article XXI of the GATT is the core legal mechanism within the WTO framework that addresses the friction in balancing free trade and national security. Its provisions allow member states to bypass its general trade obligations if it deems such a step to be necessary to protect its “essential security interests”.²¹ Similarly, GATS Article XIV bis and TRIPS Agreement Article 73 are parallel instruments which extend the national security exception to the fields of international services and intellectual property. The former lets members restrict foreign service providers from operating within their borders if considered necessary for essential security, while the latter permits states to sidestep intellectual property protections during situations alike, which is progressively relevant in modern geopolitical tensions where vital dual-use technologies, telecommunications infrastructure, and sophisticated semiconductors are extensively patent-reliant.^{22 23}

Fundamentally, by establishing legal boundaries that substantially obstruct the total weaponization of global commerce, this triad balances these security imperatives with the continuance of the multilateral trading system. Recent WTO dispute settlement jurisprudence (e.g. *DS512: Russia - Measures Concerning Traffic in Transit*, *DS567: Saudi Arabia - Measures Concerning the Protection of Intellectual Property Rights*, and *DS564: United States - Certain Measures on Steel and Aluminium Products*) has elucidated that

²¹ WTO. (1994). Security Exceptions (Article XXI). General Agreement on Tariffs and Trade (GATT) 1994. World Trade Organization. https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm art21

²² WTO. (1994a). Security Exceptions (Article XIV bis). General Agreement on Trades in Services. World Trade Organization. https://www.wto.org/english/docs_e/legal_e/gats_e.htm art14_bis

²³ WTO. (1994b). Security Exceptions (Article 73). Agreement on Trade-Related Aspects of Intellectual Property Rights.

while these provisions offer wide discretion, they are not to be exploited as means for economic protectionism. That is, the invocation of a security exception remains subject to objective review to substantiate the existence of a genuine “emergency in international relations”. At times of geopolitical unrest, such a standard of accountability acts as the paramount balancing mechanism. It assists legitimate sovereign defence measures besides preventing major powers from indiscriminately covering routine trade wars and economic nationalism under the guise of national security, consequently preserving the continuity and predictability of the broader global free market.

GATT Article V (Freedom of Transit) and the WTO Agreement on Trade Facilitation (TFA): The freedom of transit for goods moving through the domain of a WTO member is ensured by the GATT Article V. When geopolitical tensions persist, states may impose jarring sanctions on rival nations. However, Article V guarantees that a transit country cannot legally blockade or levy severe tolls on the commerce of third-party nations solely because they

World Trade Organization. https://www.wto.org/english/docs_e/legal_e/31bis_trips_09_e.htm

[_e/31bis_trips_09_e.htm](https://www.wto.org/english/docs_e/legal_e/31bis_trips_09_e.htm) are passing through its borders.²⁴ Furthermore, The WTO’s Agreement on Trade Facilitation (TFA) reinforces this by mandating accelerated customs procedures and transparency, indifferent to the prevalent political climate.²⁵

These mechanisms collectively stop geopolitical discord from resulting in precarious logistical paralysis, and help sustain the equilibrium between a country’s sovereign border security and the international community’s access to open, predictable supply chain corridors.

Article 12 of the WTO Agreement on Agriculture: States often resort to abrupt export bans to secure their domestic food supply during global crises, which acts as a catalyst to intense geopolitical tension and collapse of international agricultural trade. To confine this protectionist impulse, Article 12 of the WTO Agreement on Agriculture establishes thorough disciplines on export prohibitions and restrictions for foodstuffs.

The mechanism necessitates that when enforcing an export restriction to address a domestic critical shortage, a member state gives due consideration to the effects of such restriction on the importing members’ food security.²⁶

²⁴ WTO. (1994c). Freedom of Transit (Article V). General Agreement on Tariffs and Trade (GATT) 1994. World Trade Organization. https://www.wto.org/english/docs_e/legal_e/gatt47_e.htm art5

²⁵ WTO. (2014). Agreement on Trade Facilitation (Document WT/L/940). World Trade Organization.

²⁶ WTO. (1994d). Disciplines on Export Prohibitions and Restrictions (Article 12). Agreement on Agriculture. World Trade Organization. https://www.wto.org/english/docs_e/legal_e/ag_e.htm art12

<https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q%3A/WT/L/940.pdf&Open=True> [ctdoc.aspx?filename=q:/WT/L/940.pdf&Open=True](https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/L/940.pdf&Open=True)

Moreover, the member exporting such a restriction must provide a notice in writing, as far in advance as possible, to the Committee on Agriculture, and consult, upon request, with any other member that is a prospective importer.²⁷ This provision balances a country's contemporary internal security concerns (domestic food supply to be specific) with its commitments to the free market, extensively alleviating panic-driven trade wars while keeping global agricultural commerce stable and functional.

United Nations Security Council

Resolution 1540 (2004): United Nations Security Council (UNSC) Resolution 1540 is a binding instrument adopted under the Chapter VII of the UN Charter that obligates all states to block non-state actors from gaining, producing, or using any sorts of weapons of mass destruction (WMD), and their methods of delivery, by means of effective national legislation and controls. This resolution indirectly affects global trade by mandating that all UN member states devise and enforce rigorous domestic restraint over materials, equipments, that could be used in the production of nuclear, chemical, or biological weapons.²⁸

The provisions of this exemplary instrument require countries to establish extensive export, transit, and transshipment regulations along with durable border security measures. While this fundamentally causes friction into the free movement of goods, the resolution serves as a globally accepted standard that rationalizes the imposition of trade compliance barriers. Resolution 1540 thus makes supply chain security an universal benchmark rather than an erratic trade barrier by legally obligating countries to strictly oversee and restrict dual-use supply chains.²⁹

United Nations Security Council

Resolution 2177 (2018): The catastrophic impact of armed conflict on global food supply chains is addressed by the UNSC Resolution 2417, which was adopted unanimously

²⁷ WTO. (1994d). Disciplines on Export Prohibitions and Restrictions (Article 12). Agreement on Agriculture. World Trade Organization. https://www.wto.org/english/docs_e/legal_e/ag_e.htm#art12

²⁸ UNSC. (2004, April 28). Resolution 1540 (2004) [S/RES/1540 (2004)]. United Nations Digital Library. <https://digitallibrary.un.org/record/520326>

²⁹ UNSC. (2004, April 28). Resolution 1540 (2004) [S/RES/1540 (2004)]. United Nations Digital Library. <https://digitallibrary.un.org/record/520326>

in 2018. Although the UN Security Council often authorizes economic sanctions, this particular resolution functions as a protective exception for agricultural commerce. Explicitly condemning starvation of civilians as a warfare tactic, it proscribes unlawful denial of humanitarian access to civilian populations, which essentially protects the logistics and infrastructure necessary to move food and agricultural goods.³⁰

The resolution's provisions legally distinguish the trade of vital foodstuffs from legitimate military or economic targets. As per its mandate, even amid active hostilities and geopolitical blockades, states and combatants must grant safe, unhindered passage of food commodities and agricultural relief.³¹ This builds a legal shield that averts the complete shutdown of agricultural trade in conflict zones, ensuring the survival of the global food market while stabilizing military objectives.

United Nations General Assembly

Resolution Y6/161 (Human Rights and Unilateral Coercive Measures, 2021): The UN General Assembly (UNGA) Resolution 76/161, titled *Human Rights and Unilateral Coercive Measures*, categorically condemns the usage of unilateral coercive measures as means of political and economic pressure, delivering a crucial counterbalance to the weaponization of trade in an era of rising geopolitical tension. This resolution strongly urges all states to refrain from adopting, maintaining, or implementing any unilateral measures not in accordance with international law, international humanitarian law, and the UN Charter, specially highlighting those of a coercive nature with extraterritorial effects that hinder trade relations among states.³² It anchors its legal stance in Article 32 of the Charter of Economic Rights and Duties of States, and formally rejects the use of economic, political, or any other type of measures to compel another state into the “subordination of the exercise of its sovereign rights”.³³ The resolution seeks to safeguard the global free trade system from being disintegrated by individual states that capitalize on broad, unverified national security claims to justify arbitrary economic warfare against geopolitical rivals.

Regarding the direct intersection of national security and free trade, A/RES/76/161 stresses that critical international trade, particularly involving food, agricultural products, medicine and medical equipment, and basic civilian commodities, must never be utilized as tools

³⁰ UNSC. (2018, May 24). Resolution 2416 (2018) [S/RES/2417 (2018)]. UNDOCS. [https://docs.un.org/en/S/res/2417\(2018\)](https://docs.un.org/en/S/res/2417(2018))

³¹ UNSC. (2018, May 24). Resolution 2416 (2018) [S/RES/2417 (2018)]. UNDOCS. [https://docs.un.org/en/S/res/2417\(2018\)](https://docs.un.org/en/S/res/2417(2018))

³² UNGA. (2021, December 16). Human rights and unilateral coercive measures [A/RES/76/161]. United Nations Digital Library. <https://digitallibrary.un.org/record/395494> 1

³³ UNGA. (1974, December 12). Article 32. Charter of Economic Rights and Duties of States [Resolution 3281 (XXIX)]. UNDOCS. [https://docs.un.org/en/a/res/3281\(XXIX\)](https://docs.un.org/en/a/res/3281(XXIX))

for exerting political and/or economic pressure. Furthermore, it explicitly condemns the inclusion of member states in unilateral lists under false pretexts of national security or terrorism, acknowledging that such listings haphazardly distort global trade and disrupt supply chains.³⁴ While it is non-binding in nature, this resolution serves as a normative mechanism to balance national security claims against open trade, by establishing the notion that even when nations adopt defensive security stances or engage in geopolitical disputes, open trade channels for life-saving goods are preserved, guaranteeing that national security strategies does not transform into indiscriminate obstructions to civilian commerce.

SAFE Framework of Standards - World Customs Organization (WCO): Adopted in 2005 and updated regularly, the WCO SAFE Framework of Standards (SAFE FoS) was developed precisely in response to intensified global security concerns to safeguard the international supply chain without choking international commerce. Although it is not binding in nature, it provides an instrumental set of guidelines that customs administrations all across the world have integrated into domestic law.

At the core of the mechanism of the SAFE FoS is the Authorized Economic Operator (AEO) concept. It incentivizes the private sector to adopt meticulous internal security practices.³⁵ Display of highly secure supply chains by the practicing companies can result in expedited customs processing and flexible border inspections. Such a mechanism functionally balances security and free trade through rewarding compliance with trade facilitation, and attempts to enable enhanced border security to target high-risk shipments while streamlining free flow of legitimate commerce.

OECD Guidelines for Recipient Country Investment Policies Relating to National Security (2009): Since geopolitical tensions growingly manifest as foreign direct investment (FDI) in critical infrastructure and technology, the Organisation for Economic Co-operation and Development (OECD) addressed the necessity to balance open investment environments with national security screening. The Recommendation of the Council on Guidelines for Recipient Country Investment Policies relating to National Security, adopted by the OECD Council in 2009, set up a multilateral framework for how governments should review foreign investments to prevent malevolent geopolitical actors from obtaining vital domestic assets.³⁶

³⁴ UNGA. (2021, December 16). Human rights and unilateral coercive measures [A/RES/76/161]. United Nations Digital Library. <https://digitallibrary.un.org/record/395494> 1

³⁵ WCO. (2025, June). SAFE Framework of Standards. World Customs Organization.

³⁶ OECD. (2009, May 25). Recommendation of the Council on Guidelines for Recipient Country Investment Policies relating to National Security. OECD/LEGAL/0372. <https://legalinstruments.oecd.org/public/doc/227/227.en.pdf>

The fundamental concepts of the Guidelines are centered on non-discrimination, transparency, predictability, proportionality and accountability. It advises that FDI inspection frameworks should be closely tailored to genuine national security threats instead of acting as a covert tool

https://www.wcoomd.org/-/media/wco/public/global/pdf/topics/facilitation/instruments-and-tools/tools/safe-package/safe-framework-2025_en.pdf?la=en blic/global/pdf/topics/facilitation/instruments-and-tools/tools/safe-package/safe-framework-2025_en.pdf?la=en for economic protectionism.³⁷ Thus, through standardizing the criteria for investment screening, the OECD framework assists in maintaining the free flow of global capital by avoiding national security debates from degrading into obscure impediments in investment.

The Wassenaar Arrangement (1996): The Wassenaar Arrangement on Export Controls for Conventional Arms and Dual-Use Goods and Technologies is the first global multilateral regime on export controls for conventional weapons and sensitive dual-use goods and technologies. Geopolitical tension linked to transfer of technology is addressed directly by this arrangement as its provisions aim to prevent disruptive accumulations of conventional arms and dual-use technologies. Nations participating in this arrangement consent to uphold national exports controls on mutually agreed lists of vastly sensitive technologies, which include but are not limited to advanced electronics, aerospace components, and cybersecurity tools.³⁸

The mechanism functions through sharing of information and voluntary compliance, where participating states integrate the Wassenaar control lists into their domestic export licensing systems.³⁹ This framework adopts a

targeted approach rather than a blanket-ban on high-tech trade, letting the vast majority of consumer technology to trade freely while calling for rigorous, coordinated licensing requirements on strategic technologies.

Article Y (Transit) of the Energy Charter Treaty (1994): One of the most robust legal mechanisms to prevent the weaponization of energy commerce during geopolitical disputes is provided by Article 7 of the Energy Charter Treaty. By acknowledging that energy safety is a crucial national interest, it explicitly prohibits contracting parties from disrupting (or

³⁷ OECD. (2009, May 25). Recommendation of the Council on Guidelines for Recipient Country Investment Policies relating to National Security. OECD/LEGAL/0372. <https://legalinstruments.oecd.org/public/doc/227/227.en.pdf>

³⁸ Wassenaar Arrangement. (1996). The Wassenaar Arrangement on Export Controls for Conventional Arms and Dual-Use Goods and Technologies. <https://www.wassenaar.org/the-wassenaar-arrangement/>

³⁹ Wassenaar Arrangement. (1996). The Wassenaar Arrangement on Export Controls for Conventional Arms and

allowing the disruption of) and reducing the existing flow of energy materials and goods (e.g. oil and gas via pipelines) at the time of an ongoing political or trade dispute.⁴⁰

This provision serves as a buffer: before a country can pause energy transit due to a geopolitical grievance, it must resort to specific dispute resolution procedures highlighted in the treaty. Consequently, Article 7 helps to strike a balance between a nation's right to resolve transit disputes and the global necessity of uninterrupted energy trade.⁴¹ Ultimately, it aims to ensure that abrupt geopolitical escalations do not instantly cut-off the energy supplies of third-party countries down the supply chain.

Dual-Use Goods and Technologies. <https://www.wassenaar.org/the-wassenaar-arrangement/r-arrangement/>

Article 23 of the Geneva Convention

(IV) relative to the Protection of Civilian Persons in Time of War (1949): While mainly serving as the foundation of International Humanitarian Law, Article 23 of the Fourth Geneva Convention establishes an important basis for international commerce: free passage of shipments of medical supplies, food, and clothing, even during times of adverse geopolitical crisis.⁴² This legally obligates all High Contracting Parties to allow the free passage of all consignments of medical and hospital stores, essential foodstuffs, clothing and tonics intended for children under fifteen, expectant mothers and maternity cases.

Article 23 requires states enforcing a military or economic blockade to inspect, approve, and safely route these specific commercial products through their lines.⁴³ Its mechanism compels belligerents to balance their maximum national security posture with the preservation of vital life, by depriving states from the legal right to impose absolute, impervious trade embargoes. Therefore, its ramification, albeit indirectly, is linked to saving commerce, and guaranteeing that trade in essential human goods cannot be completely blocked.

⁴⁰ Energy Charter Treaty. (1994). Article 7: Transit. energycharter.org. <https://www.energychartertreaty.org/provisions/part-ii-commerce/article-7-transit/>

⁴¹ Energy Charter Treaty. (1994). Article 7: Transit. energycharter.org. <https://www.energychartertreaty.org/provisions/part-ii-commerce/article-7-transit/>

⁴² International Committee of the Red Cross (ICRC). (1949). Consignment of medical supplies, food and clothing (Article 23). Convention (IV) relative to the Protection of Civilian Persons in Time of War. IHL Databases. <https://ihl-databases.icrc.org/en/ihl-treaties/gciv-1949/article-23>

⁴³ International Committee of the Red Cross (ICRC). (1949). Consignment of medical supplies, food and clothing (Article 23). Convention (IV) relative to the Protection of Civilian Persons in Time of War. IHL Databases. <https://ihl-databases.icrc.org/en/ihl-treaties/gciv-1949/article-23>

06

Current Situation

Problem Statement

The multilateral trading system was built on the assumption that economic interdependence would effectively contribute to greater international stability and prosperity, as countries would face higher downsides to waging wars and causing disruptions in global supply chains. Since the establishment of the General Agreement on Tariffs and Trade in 1947 and the subsequent creation of the World Trade Organization in 1995, states have largely accepted the rules-based framework designed to reduce barriers to trade and prevent discriminatory economic practices. Nonetheless, the contemporary geopolitical environment has increasingly challenged this model, as growing strategic competition between major powers, the resurgence of industrial policy and heightened concerns regarding economic security have blurred the distinction between trade policy and national security.

At the center of this debate lies a fundamental dilemma positing that while governments have a legitimate interest and responsibility to protect their national security, the increasing use of security-based trade measures risks undermining the openness, predictability and non-discrimination upon which the WTO is founded. This fragmentation of global trade is occurring while growing concerns about the distribution of benefits of globalization exist. While the expansion of global trade contributed to unprecedented economic growth, critics have long argued that its benefits have been unevenly distributed both within and between nations. Joseph Stiglitz in *Globalization and Its Discontents*, argued that the governance of globalization through organizations such as the World Bank, the International Monetary Fund, or the World Trade Organization, often failed to account for the interests of developing economies and vulnerable populations. Consequently, concerns regarding the fragmentation of trade intersect not only with matters of security but also with longstanding interrogations on equity and inclusion within the global economic system. The key question to confront is therefore to understand how states

can address genuine security and equity concerns without eroding the foundations of free trade.

The Expansion of Security-Based Trade Measures

The growing use of national security as a justification for trade restrictions has become a defining trend of contemporary international economic relations, as the GATT's Article XXI permits WTO members to adopt measures they consider necessary for the protection of their essential security interests. Nevertheless, this provision was rarely invoked and was generally viewed as an exceptional safeguard reserved for extraordinary circumstances.

This provision became less exceptional with governments increasingly relying on national security arguments to justify their tariffs, exports controls, investments restrictions and industrial subsidies.⁴⁴ A notable case illustrating this phenomenon occurred in 2018 when the United States of America (USA) imposed tariffs on imported steel and aluminium under Section 232 of the Trade Expansion Act (US Congress, 2025). The primary argument to back such a decision was that dependence on foreign suppliers could threaten the national security of the USA. Several WTO member states challenged the measures by arguing that they constituted disguised protectionist policies rather than legitimate security actions.⁴⁵ Therefore, a question arises, if states possess unlimited discretionary powers giving them the ability to define what constitutes a security threat, WTO obligations may become very difficult to enforce.

Governments are now treating supply chains, energy resources, critical minerals, telecommunications infrastructure, and advanced technologies as strategic assets (OECD, 2024). As a result, economic policy has become increasingly intertwined with national security policy, creating new tensions between sovereign decision-making and multilateral trade commitments.

Paralysis of the WTO Dispute Settlement System

The challenge that poses expanding security-based measures has been multiplied by the growing difficulties the WTO's dispute settlement system faces. Indeed, since December

⁴⁴ Van Den Bossche, P., Akpofure, S., & World Trade Institute. (2020). The Use and Abuse of the National Security Exception under Article XXI(b)(iii) of the GATT 1994 The Use and Abuse of the National Security Exception under Article XXI(b)(iii) of the GATT 1994. https://www.wti.org/media/filer_public/50/57/5057fb22-f949-4920-8bd1-e8ad352d22b2/wti_working_paper_03_2020.pdf

⁴⁵ European Commission. (2018, May 31). Press corner. European Commission - European Commission. https://ec.europa.eu/commission/presscorner/detail/en/IP_18_4006

2019, the WTO Appellate Body has remained non-functional due to disagreements among member states regarding its role and ultimately its authority (European Commission, 2023). As geopolitical tensions increased, governments have become more willing to act unilaterally rather than relying on a paralysed body, doubting the capacities of WTO mechanisms to effectively address their issues.

Fragmentation of Global Trade Networks

The increasing securitization of trade has contributed to a broader restructuring of global economic relationships, as for decades globalization was primarily guided by considerations of efficiency, cost reduction and comparative advantage. Nowadays, other elements are added to the equation, with governments increasingly prioritizing resilience and strategic autonomy.

In this context, concepts such as friendshoring and nearshoring have become crucial to economic policymaking and global trade. Friendshoring refers to the relocation of production and supply chains toward politically aligned partners, while nearshoring emphasizes the geographical proximity as a means of reducing vulnerability and costs.⁴⁶ While such strategies may improve resilience against disruptions, they also risk fragmenting the global economy into competing economic blocs.⁴⁷ The semiconductor sector provides one of the clearest examples of this phenomenon. Advanced semiconductors play a critical role in artificial intelligence, telecommunications, defense systems, and advanced manufacturing. Since 2022, the United States has progressively expanded export controls limiting China's access to advanced semiconductor technologies, citing national security concerns. In response, China has implemented its own restrictions on the export of critical minerals and accelerated efforts to achieve technological self-sufficiency.⁴⁸ These developments illustrate a broader shift in international trade. Increasingly, states are willing to accept economic costs in pursuit of strategic objectives. While such measures may enhance national resilience, they also challenge the WTO's traditional commitment to open and non-discriminatory trade.

⁴⁶ Nedumpara, J. (2024, March 31). Friendshoring, Nearshoring, Greenshoring and Reshoring: Changing Faces of Global Supply Chains and its Impact on International Economic Law Introduction to the Special Issue. WTO Chairs Programme. <https://wtochairs.wto.org/friendshoring-nearshoring-greenshoring-and-reshoring-changing-faces-global-supply-chains-and-its>

⁴⁷ Crowe, D., & Rawdanowicz, Ł. (2023). Risks and opportunities of reshaping global value chains. OECD Economics Department Working Papers. <https://doi.org/10.1787/f758afe8-en>

⁴⁸ Branstetter, L. (2024, July). EXPORT CONTROLS AND US-CHINA TECHNOLOGY COMPETITION IN AN INTERDEPENDENT WORLD. Economic Studies at Brookings. https://www.brookings.edu/wp-content/uploads/2024/07/20240701_Branstetter_Sanctions.pdf

Unequal Consequences for Developing Economies

While much of the debate has been focused on major powers, the consequences of trade fragmentation are often most significant for developing countries relying heavily on access to global markets, foreign investment and their active role in international supply chains. As advanced economies are redirecting investment and production toward politically aligned partners instead of maximizing profits and considering comparative advantages, some developing countries may struggle to attract capital or integrate into strategic industries. On one hand, some may face pressure to align with one geopolitical bloc or another, potentially limiting their economic and diplomatic flexibility. On the other hand and at the same time, many developing countries can not mobilize the necessary financial resources to implement large-scale industrial policies comparable to those adopted by major powers. Nevertheless, fragmentation may also create opportunities. Some countries have benefited from the relocation of manufacturing and supply chains away from traditional production hubs. States such as Vietnam, Indonesia, and Mexico have attracted increased investment as firms seek to diversify production networks. This demonstrates that the effects of geopolitical competition are neither uniform nor entirely negative.

Possible Solutions

The debate surrounding national security and free trade ultimately raises broader questions regarding the future of multilateralism. The extensive sanctions imposed following Russia's invasion of Ukraine, the growing strategic rivalry between the United States and China, and the European Union's pursuit of a "de-risking" strategy all demonstrate that governments increasingly view trade through a geopolitical lens.

Nonetheless, these developments have not eliminated the need for international cooperation as global supply chains remain deeply interconnected and many contemporary challenges such as climate change, technological governance or international economic development require coordinated and global efforts. The challenge facing the WTO is therefore not whether security concerns should influence trade policy, but rather how such concerns can be managed without undermining the rules and institutions that facilitate international commerce. Delegates should grapple with two interconnected questions: how can security concerns be addressed without destroying free trade, and how can the WTO remain relevant in an era increasingly defined by great-power competition?

Given the complexity of the issue at hand, it is not expected that one single solution will resolve all tensions between the two sides of the debate. Nevertheless, several policy pathways have emerged within academic, governmental and multilateral discussions, each attempting to preserve a balance between state sovereignty and the integrity of the WTO system.^{49 50}

One approach focuses on clarifying the interpretation of GATT Article XXI as many scholars argued that the provision is not meant to be a completely unconstrained “self-judging” exception and tWTI Working Paper No. 03/2020, 2020hat its use should remain subject to good-faith and some level of objective criteria.⁵¹ In this view, clearer guidance on the scope of “essential security interests,” the meaning of “necessity,” and the types of circumstances covered by the exception could reduce legal uncertainty while preserving states’ ability to respond to genuine threats.⁵² Such clarification would not eliminate the national security exception, but it could make it harder to invoke Article XXI as a blanket justification for trade protectionism.⁵³

A second proposal involves reforming and strengthening the WTO dispute settlement system. The institutional weakness created by the Appellate Body crisis has made it increasingly difficult for members to rely on it, especially on politically sensitive disputes.⁵⁴ Restoring a fully functioning appellate mechanism or designing specialized procedures for security-related disputes could improve confidence in the WTO’s enforcement capacity and reduce incentives for unilateral retaliation.^{55 56} As several scholars note, the problem

⁴⁹ Maruyama, W., & Wolff, A. Wm. (2023). Saving the WTO from the national security exception. Peterson Institute for International Economics.

⁵⁰ WTI Working Paper No. 03/2020, 2020

⁵¹ Ikeda, T. (2023). A proposed interpretation of GATT Article XXI(b)(ii) in light of its jurisprudence and practice. Cornell International Law Journal.

⁵² Meti. (2020). COLUMN: SECURITY EXCEPTIONS -INTERPRETATION OF GATT ARTICLE XXI. https://www.meti.go.jp/english/report/data/2020WTO/pdf/column_02.pdf

⁵³ Mavroidis, P. C. (n.d.). Litigating national security in the WTO era. Columbia Law School Scholarship Archive. https://scholarship.law.columbia.edu/faculty_scholarship/4656/

⁵⁴ European Parliament, & Grieger, G. (2024, June). World Trade Organisation Appellate Body crisis and the multi-party interim appeal arbitration arrangement. [https://www.europarl.europa.eu/RegData/etudes/BRIE/2024/762342/EPRS_BRI\(2024\)76234_2_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/BRIE/2024/762342/EPRS_BRI(2024)76234_2_EN.pdf)

⁵⁵ CSIS. (2025). The World Trade Organization: The Appellate Body Crisis | Economics Program and Scholl Chair in International Business | CSIS. Csis.org. <https://www.csis.org/programs/economics-program-and-scholl-chair-international-business/world-trade-organization>

⁵⁶ Kommerskollegium. (2023). The WTO Appellate Body Crisis. <https://www.kommerskollegium.se/globalassets/publikationer/rapporter/2023/the-wto-appellate-body-crisis.pdf>

is not only that national security measures are difficult to assess, but that the current system lacks the institutional credibility needed to resolve them consistently.⁵⁷

Other proposals emphasize transparency as a key aspect to reconcile the two elements, indeed, they argue that enhanced notification requirements, consultation mechanisms and institutionalized information-sharing practices could improve trust among states and reduce the risk that security measures escalate into broader trade conflicts. Greater transparency may also help distinguish legitimate security measures from protectionist policies by forcing states to explain the rationale, scope, and proportionality of their actions more clearly.⁵⁸ In this sense, transparency is not a substitute for legal reform, but a practical complement to it: even if members disagree on how far Article XXI should extend, they may still support stronger procedural obligations that make abuse easier to detect and harder to justify.⁵⁹

⁵⁷ Maruyama, W., & Wolff, A. Wm. (2023). Saving the WTO from the national security exception. Peterson Institute for International Economics.

⁵⁸ Ikeda, T. (2023). A proposed interpretation of GATT Article XXI(b)(ii) in light of its jurisprudence and practice. Cornell International Law Journal.

⁵⁹ Mavroidis, P. C. (n.d.). Litigating national security in the WTO era. Columbia Law School Scholarship Archive. https://scholarship.law.columbia.edu/faculty_scholarship/4656/

07

Key Stakeholders & Bloc Positions

The tension between national security and free trade at the WTO involves several actors, from states to multilateral institutions whose interests and capacities shape how the issue is framed and negotiated.

Major security-driven powers

United States of America

The United States of America is the central security-driven actor in today's trading system, especially since the reelection of Donald J. Trump as 47th President of the country. It has been historically the principal architect of the liberal trade order we have today, despite being the major power currently straining it.⁶⁰ Since 2017, successive U.S. administrations have invoked national security to justify a widening range of trade restrictions, including Section 232 tariffs on steel and aluminium, broader tariff surcharges, and sweeping export controls on advanced semiconductors and computing hardware.^{61 62} These policies rely on a domestic legal framework, Section 232 of the Trade Expansion Act, that allows the

⁶⁰ Komninakas, E. (2025, December 6). Architect to Arsonist: The United States' Use of the National Security Exception in the World Trade Organization. Columbia Undergraduate Law Review. <https://www.culawreview.org/current-events-2/architect-to-arsonist-the-united-states-use-of-the-national-security-exception-in-the-world-trade-organization>

⁶¹ Reinsch, W. A., Caporal, J., & CSIS. (2019). The WTO's First Ruling on National Security: What Does It Mean for the United States? [Review of The WTO's First Ruling on National Security: What Does It Mean for the United States?]. Csis.Org. <https://www.csis.org/analysis/wtos-first-ruling-national-security-what-does-it-mean-united-states>

⁶² Branstetter, L. (2024, July). EXPORT CONTROLS AND US-CHINA TECHNOLOGY COMPETITION IN AN INTERDEPENDENT WORLD. Economic Studies at Brookings. https://www.brookings.edu/wp-content/uploads/2024/07/20240701_Branstetter_Sanctions.pdf

President to restrict imports deemed to “threaten to impair” national security, and they are frequently defended under GATT Article XXI when challenged in Geneva.^{63 64} From the WTO’s perspective the U.S. position is particularly disruptive because it combines extensive use of the security exception along with a deliberate weakening of enforcement, as since 2017, Washington has blocked all appointments and reappointments to the Appellate Body, preventing the formation of the three judge quorum required for the body to hear appeals and thereby consequently weakening the binding nature of dispute settlement.⁶⁵ When WTO panels ruled in 2022 that the 2018 steel and aluminium tariffs did not meet the “war or other emergency in international relations” threshold, the United States rejected the decisions and argued that WTO bodies have no authority to review national-security measures at all, directly contradicting earlier jurisprudence such as *Russia – Traffic in Transit*.^{66 67} Ultimately, Washington has been using a combination of broad security claims, aggressive tariff policy along with institutional veto which makes it both a rule-taker and rule-breaker. It signals to other powerful states the possibility of insulating themselves from multilateral constraint if security is invoked.⁶⁸

<https://www.culawreview.org/current-events-2/architect-to-arsonist-the-united-states-use-of-the-national-security-exception-in-the-world-trade-organizationof-the-national-security-exception-in-the-world-trade-organization> People’s Republic of China

China is the other major pole in the emerging security-trade debate and its position is quite complex, being both a target of Western restrictions while becoming an increasingly

⁶³ Komninakas, E. (2025, December 6). Architect to Arsonist: The United States’ Use of the National Security Exception in the World Trade Organization. Columbia Undergraduate Law Review.

⁶⁴ ARTICLE XXI Security Exceptions. (n.d.). In Analytical index of the GATT (pp. 599–610). https://www.wto.org/english/res_e/booksp_e/gatt_ai_e/art21_e.pdf

⁶⁵ CSIS. (2025). The World Trade Organization: The Appellate Body Crisis | Economics Program and Scholl Chair in International Business | CSIS. Csis.org. <https://www.csis.org/programs/economics-program-and-scholl-chair-international-business/world-trade-organization>

⁶⁶ Komninakas, E. (2025, December 6). Architect to Arsonist: The United States’ Use of the National Security Exception in the World Trade Organization. Columbia Undergraduate Law Review. <https://www.culawreview.org/current-events-2/architect-to-arsonist-the-united-states-use-of-the-national-security-exception-in-the-world-trade-organization>

⁶⁷ Sharon, J., & Pace International Law Review. (2026, April 3). When “National Security” Becomes a Trade Weapon [Review of When “National Security” Becomes a Trade Weapon]. Pace International Law Review. <https://pilir.blogs.pace.edu/2026/04/03/when-national-security-becomes-a-trade-weapon/>

⁶⁸ Bacchus, J. (2022). The Black Hole of National Security Striking the Right Balance for the National Security Exception in International Trade Article XXI of the General Agreement on Tariffs and Trade (GATT) reserves for members of the [Review of The Black Hole of National Security Striking the Right Balance for the National Security Exception in International Trade Article XXI of the General Agreement on Tariffs and Trade (GATT) reserves for members of the]. <https://www.cato.org/sites/cato.org/files/2022-11/policy-analysis-936.pdf>

proactive user of security-framed trade instruments.^{69 70} On one hand, Chinese firms have been directly hit by U.S. and allied export controls on advanced chips, lithography equipment and many other technologies.⁷¹ On the other hand, China itself has responded by broadening its own conception of economic security, introducing export controls on key minerals and technologies and developing a domestic legal framework that treats a wide range of economic activities as potential security concerns.⁷² Recent analyses show that China's strategy has shifted from largely defensive to more proactive: internationally, Beijing seeks to shape the interpretation of security exceptions and resist what it sees as abusive Western invocations; domestically, it has expanded national security to cover critical infrastructure, data, technology supply chains and industrial competitiveness. In WTO fora, China has repeatedly accused the U.S. of using national security as a cover for discriminatory Section 301 tariffs and industrial policy. In the meantime, Western members criticized China's industrial subsidies and lack of transparency on state support, which creates a mutual securitisation of trade where each side is treating the other's measures as illegitimate while defending its own. Therefore, this tension is key to any discussion on the future of Article XXI and the viability of the WTO as a neutral arbiter.

Reform-oriented middle powers

The European Union

The EU positions itself as the main champion of a fully functioning and legally predictable dispute settlement system even if it acknowledges the political difficulties of restoring the Appellate Body. Furthermore, EU policy documents underline that the WTO's dispute settlement is a "central pillar" of the multilateral trading system and that its paralysis undermines the enforceability of rules and confidence in negotiations. In response, the EU has both pushed for Dispute Settlement Understanding (DSU) reform, through proposals on Appellate Body appointments, timelines, and institutional accountability, and developed instruments such as the Enforcement Regulation to deter and respond to partners that block effective dispute settlement.

⁶⁹ FEI Xiuyan. (2022). National Security Considerations in China's Trade Legislations: Offensive or Defensive? *US-China Law Review*, 19(4). <https://doi.org/10.17265/1548-6605/2022.04.004>

⁷⁰ Zhou, Weihuan and Jiang, Huiqin and Chen, Zhe, Trade vs. Security: Recent Developments of Global Trade Rules and China's Policy and Regulatory Responses from Defensive to Proactive (June 1, 2022). Forthcoming the *World Trade Review*, UNSW Law Research Paper No. 22-12, Available at SSRN: <https://ssrn.com/abstract=4131782>

⁷¹ Sutter, K. (2025). U.S. Export Controls and China: Advanced Semiconductors [Review of U.S. Export Controls and China: Advanced Semiconductors]. *Congress.Gov*. <https://www.congress.gov/crs-product/R48642>

⁷² Andersen Institute. (2026, April 29). China's Export Controls: Critical Minerals and Strategic Pressure Points. Andersen Institute. <https://anderseninstitute.org/chinas-export-control-architecture-and-its-use-of-critical-minerals-as-strategic-pressure-points/>

One of the EU's most important strategies is the Multi-Party Interim Appeal Arbitration Arrangement (MPIA), launched with other members under Article 25 of the DSU as a substitute for the Appellate Body. The MPIA preserves a two-tier system between participating members by providing for appeal arbitration by a panel of independent experts, an element that would reduce the incentive to appeal "into the void".⁷³ Despite those efforts, the EU has repeatedly stressed that the MPIA is temporary and that the ultimate goal remains to restore a multilateral appellate mechanism, while inviting other members to join the arrangement to protect rules-based trade while negotiations are ongoing.⁷⁴ On the substantive side, the EU is not against national-security measures, but is concerned about the abuse of the security rhetoric in order to bypass safeguard disciplines. The EU has attacked the findings of the panels for what it thinks are an underestimation of the safeguard character of certain U.S. measures, insisting that international law be the only basis of WTO arbitration, not unilateral domestic definitions like "national security."

Japan

Japan is a highly trade-dependent economy that has relied heavily on the WTO's dispute settlement system and has become a key voice for its revival and reform (Ministry of Foreign Affairs of Japan, 2019). Japanese policymakers have said publicly that the WTO is "indispensable" for a trading nation, and have cited the loss of credibility and practical remedies that result from the Appellate Body's paralysis. At the G20 and WTO, Japan has advocated for addressing concerns about the Appellate Body's overreach, such as delayed rulings and perceived failure to fully resolve the measure at issue, while preserving the core features of a binding, independent appellate system.

After initial hesitation, the country finally decided to join the MPIA in March 2023, framing this choice as a way to maintain predictability and strengthen the rules-based multilateral trading system.⁷⁵ The cabinet understanding on MPIA participation states that the arrangement will substitute, on an interim basis, for the Appellate Body's functions and that participation reflects Japan's belief in the importance of an effective dispute-settlement framework.

⁷³ World Trade Organization. (2020). WTO | Alternative Dispute Resolution Procedures [Review of WTO | Alternative Dispute Resolution Procedures]. Wto.Org. https://www.wto.org/english/tratop_e/dispu_e/altds_e.htm

⁷⁴ Machado, J. A. (2024). EU Statement at the General Council Meeting, 17 December 2024 [Review of EU Statement at the General Council Meeting, 17 December 2024]. EEAS. https://www.eeas.europa.eu/delegations/world-trade-organization-wto/eu-statement-general-council-meeting-17-december-2024_en

⁷⁵ Australian National University. (2024). Japan's joining MPIA an outside chance to boost momentum for WTO reform | Crawford School of Public Policy [Review of Japan's joining MPIA an outside chance to boost momentum for WTO reform | Crawford School of Public Policy]. Crawford School of Public Policy. <https://crawford.anu.edu.au/australia-japan-research-centre/content-centre/article/news/japan-joining-mpia-outside-chance>

At the same time, Japan is navigating domestic debates over economic security, especially regarding critical infrastructure such as high technologies and AI. To manage this, Tokyo is pursuing a policy of selective openness aiming to balance its need for foreign direct investments and technological innovation with a comprehensive screening framework designed to protect their domestic supply chains from foreign interference and espionage.⁷⁶ Ultimately, when it comes to the WTO, Japan will likely support proposals that rebuild enforceable rules with carefully designed reforms, rather than either dismantling legal review or leaving security claims entirely unconstrained.

Canada

Canada plays a role of great importance among reform-oriented middle powers most visibly through its leadership of the Ottawa Group on WTO Reform.⁷⁷ This group of like-minded members composed of the EU, Japan, the United Kingdom, Australia, Mexico among others, aims to brainstorm pragmatic solutions and ideas to strengthen the three functions the WTO covers, from negotiations, to deliberation without forgetting dispute settlement. The latter is considered in joint ministerial statements from Ottawa as a central pillar of the organization, eventually warning that continued vacancies in the Appellate Body threaten the system as a whole. Canada has also been closely involved in early bilateral and plurilateral arrangements that paved the way for the MPIA, and is itself a participant in that interim appellate system. Canadian policy documents and parliamentary research highlight three main priorities: safeguarding and strengthening dispute settlement, improving transparency and notifications, and updating rules to address twenty-first century issues such as digital trade and industrial policy.

Ottawa's stance is therefore one of multilateralism and reform as it accepts that some members have legitimate concerns about how dispute settlement has operated but insists that solutions must reinforce not weaken enforceability and transparency.

Other emerging powers

⁷⁶ Edelman. (2026, June 2). Strengthening Japan's Intelligence and Economic Security [Review of Strengthening Japan's Intelligence and Economic Security]. Edelman. <https://www.edelman.com/insights/strengthening-japans-intelligence-and-economic-security>

⁷⁷ Global Affairs Canada. (2018, October 25). Joint Communiqué of the Ottawa Ministerial on WTO Reform. Canada.ca; Government of Canada. <https://www.canada.ca/en/global-affairs/news/2018/10/joint-communique-of-the-ottawa-ministerial-on-wto-reform.html>

India

India is a large emerging market and power whose trade and foreign policy are directly articulated around strategic autonomy in the sense of being able to engage in free trade with all major powers while preserving independent decision making on security, energy and development.⁷⁸ The country is effectively balancing a legacy of protectionism and a strong defense of the Global South with a rapid, proactive pivot toward deep global integration marked by free trade agreements that removed or deeply reduced tariffs on 96% of trade with the European Union.^{79 80} In the debate over national security versus free trade, India rejects both Western-led sweeping security restrictions and China's dominance, opting instead for a doctrine of Strategic Multialignment.⁸¹ India strongly opposes unilateral trade measures that are disguised as national security protections. When the United States enacted Section 232 tariffs on steel and aluminum under a national security banner, India was among the key nations that filed disputes at the WTO.⁸² New Delhi argues that Article XXI is not completely self-judging. India maintains that WTO panels must have the right to objectively review security claims to ensure developed nations do not use "national security" as a loophole for naked economic protectionism. Moreover, Modi's government has criticized the EU's Carbon Border Adjustment Mechanism (CBAM) and similar Western green-subsidies. New Delhi frames these policies as protectionist barriers that unfairly penalize developing economies under the guise of global climate security.⁸³

While defending its policy space at the WTO, India has fundamentally shifted its economic strategy from defensive isolation to several free trade agreements. Breaking a decade-long lull in trade diplomacy, India concluded monumental trade pacts, including the historic India-EU FTA and a comprehensive trade framework with the United States. New Delhi has also sealed major trade agreements with the UK, Oman, New Zealand, and

⁷⁸ Drishti IAS. (2025). Strategic Autonomy as India's Global Compass [Review of Strategic Autonomy as India's Global Compass]. Drishti IAS. <https://www.drishtias.com/daily-updates/daily-news-editorials/strategic-autonomy-as-india-s-global-compass>

⁷⁹ Dash, S. (2025, July 26). India tests strategic autonomy in fractured trade order. East Asia Forum. <https://eastasiaforum.org/2025/07/26/india-tests-strategic-autonomy-in-fractured-trade-order/>

⁸⁰ Kuntikanamata, K. (2026, February 8). India's trade deals test limits of strategic autonomy | Policy Circle. Policy Circle. <https://www.policycircle.org/opinion/india-eu-trade-deal/>

⁸¹ Drishti IAS. (2025). Strategic Autonomy as India's Global Compass [Review of Strategic Autonomy as India's Global Compass]. Drishti IAS. <https://www.drishtias.com/daily-updates/daily-news-editorials/strategic-autonomy-as-india-s-global-compass>

⁸² Reinsch, W. A., Caporal, J., & CSIS. (2019). The WTO's First Ruling on National Security: What Does It Mean for the United States? [Review of The WTO's First Ruling on National Security: What Does It Mean for the United States?]. Csis.Org. <https://www.csis.org/analysis/wtos-first-ruling-national-security-what-does-it-mean-united-states>

⁸³ Mishra, A. (2026, June 2). Carbon at the border: India must turn its climate-trade argument into architecture. Down To Earth. <https://www.downtoearth.org.in/climate-change/carbon-at-the-border-india-must-turn-its-climate-trade-argument-into-architecture>

the European Free Trade Association (EFTA).⁸⁴ Such agreements represent a deliberate effort by India to position itself as a credible alternative to China for global manufacturing. Ultimately, India will fiercely advocate for the Policy Space for Development, arguing that developing nations must retain their right to protect their domestic agricultural and industrial activities while advocating for further integration of global supply chains.

Russian Federation

Following Russia's invasion of Ukraine in 2022, the country has faced unparalleled, sweeping trade sanctions and the suspension of its Most-Favored-Nation (MFN) status by a coalition of roughly 40 nations including the G7 and the EU.⁸⁵ In response, Moscow has leveraged a dual strategy: utilizing WTO jurisprudence to defend its actions, while systematically decoupling from Western-led trade systems to build a parallel economic reality centered on "friendly countries." Nonetheless, long before the current wave of global sanctions, Russia fundamentally reshaped international trade law by forcing the WTO to rule on national security for the first time in its history.⁸⁶ Following political turmoil in 2014, Russia severely restricted Ukrainian goods transiting through Russian territory to Central Asia, invoking the national security exception under GATT Article XXI(b)(iii) which allows trade violations during a "war or other emergency in international relations" (Taira, 2024). Russia argued that its national security decisions were entirely self-judging and that the WTO had no right to review them.⁸⁷ While the WTO initially rejected this absolute immunity, it ultimately ruled in Moscow's favor, agreeing that a legitimate "emergency in international relations" existed. This decision on Russia - Traffic in Transit, handed a powerful legal precedent to nations looking to weaponize trade restrictions under the cover of national security.⁸⁸

At the WTO, Russia forcefully maintains that Western sanctions, asset freezes and export controls are blatant violations of international trade law while Putin directly accused

⁸⁴ Solanki, V., & IISS. (2019). India's renewed focus on free-trade agreements [Review of India's renewed focus on free-trade agreements]. IISS. <https://www.iiss.or>

⁸⁵ Kawashima, F. (2024). Trade Sanctions against Russia and their WTO Consistency: Focusing on Justification under National Security Exceptions. *International Community Law Review*, 26(1-2), 121-150. <https://doi.org/10.1163/18719732-12341497>

⁸⁶ Reinsch, W. A., Caporal, J., & CSIS. (2019). The WTO's First Ruling on National Security: What Does It Mean for the United States? [Review of The WTO's First Ruling on National Security: What Does It Mean for the United States?]. Csis.Org. <https://www.csis.org/analysis/wtos-first-ruling-national-security-what-does-it-mean-united-states>

⁸⁷ Voon, Tania, Russia - Measures Concerning Traffic in Transit (September 09, 2019). Pre-edited, pre-peer review draft in *American Journal of International Law* (Forthcoming), Available at SSRN: <https://ssrn.com/abstract=3475219> or <http://dx.doi.org/10.2139/ssrn.3475219>

⁸⁸ Voon, Tania, Russia - Measures Concerning Traffic in Transit (September 09, 2019). Pre-edited, pre-peer review draft in *American Journal of International Law* (Forthcoming), Available at SSRN: <https://ssrn.com/abstract=3475219> or <http://dx.doi.org/10.2139/ssrn.3475219>

such sanctions to negatively impact the global economy, eroding trust in the dollar and euro and accelerating a shift toward a multipolar world (Associated Press, 2026). Moscow argues that Western nations are using "national security" as a political shield to wage economic warfare. Russian diplomats argue that suspending its MFN status destroys the core foundation of the multilateral trading system.

Facing these sanctions, Russia has stopped trying to repair its relations with traditional partners and has instead pushed for state-directed trade policy to build localized insulation. Moscow has legalized "parallel imports" (allowing the unauthorized import of branded Western goods through third-party nations) and heavily rely on shadow fleets and non-Western financial rails (like the Central Bank of Russia's SPFS network) to bypass G7 price caps and SWIFT bans. The Russian government has mandated that at least 80% to 86% of its total exports must be redirected to designated "friendly countries", primarily China, India, Belarus, and Kazakhstan. Through mega-projects like the International Cooperation and Export initiative, Russia is aggressively integrating its trade into transport corridors running through the Baltic, Black, and Pacific seas directly into Asia, Latin America, and Africa, explicitly cutting out transit hubs controlled by Western nations (Russian Government, 2026).

Russia will likely hold an aggressive, unyielding stance against Western economic dominance, heavily leaning on the legal precedent set by Russia - Traffic in Transit to claim their absolute sovereign right to protect their security interests. Russia would also be the vanguard of a group of non-Western powers that rejects the "weaponized dollar".

Rest of BRICS+

Following its historic expansions, the expanded BRICS+ bloc (comprising Brazil, Russia, India, China, South Africa, Egypt, Ethiopia, Iran, and the United Arab Emirates, alongside a broad ring of newly minted partner states) has emerged as the premier institutional platform for the Global South.⁸⁹ While individual members hold wildly divergent security agendas, the bloc is unified by a single core directive: insulating the developing world from Western economic warfare and the weaponization of the global financial system.⁹⁰ As codified in the watershed Kazan Declaration, BRICS+ officially condemns what it labels "unilateral coercive measures", specifically secondary sanctions, asset freezes,

⁸⁹ Garcia Herrero, A. (2024, November 25). BRICS is becoming a more solid construction [Review of BRICS is becoming a more solid construction]. Bruegel | The Brussels-Based Economic Think Tank. <https://www.bruegel.org/first-glance/brics-becoming-more-solid-construction>

⁹⁰ FTI Consulting. (2026, March 26). BRICS 2026: Strategic Autonomy and Economic Integration in a Fragmenting Global Order - FTI Strategic Communications [Review of BRICS 2026: Strategic Autonomy and Economic Integration in a Fragmenting Global Order - FTI Strategic Communications]. FTI Strategic Communications. <https://fticomunications.com/brics-2026-strategic-autonomy-and-economic-integration-in-a-fragmenting-global-order/>

and Western export controls. The bloc formally maintains that these measures are fundamentally illegal under international law, damage the UN Charter, and actively undermine the rules-based multilateral trading system (Huashen, 2024). Led by India's execution of Digital Public Infrastructure (DPI) and China's cross-border payment integration, BRICS+ is actively expanding local currency settlement systems for intra-bloc trade. By trading in currencies like the Yuan, Rupee, and Dirham, members look to bypass the structural vulnerabilities of G7-dominated banking corridors (Zhou, 2024).

BRICS+ members would have a careful balance, as while presenting a united front against the expansion of Western "national security" definitions, they must also accurately mirror their specific domestic priorities.

Global South and Least Developed Countries

While major powers engage in geoeconomic competition, the broader Global South most notably represented by the G-90 coalition views the securitization of trade with existential alarm. Indeed, they lack the fiscal capacity needed to compete with Western-style green industrial subsidies, as well as the geopolitical leverage to fight weaponized tariff surcharges. Consequently, these nations are the primary victims of a fragmented multilateral trading order.⁹¹ In institutional frameworks like the African Union (AU) preparatory summits for WTO Ministerial Conferences, these countries have strongly condemned the rising use of national security exceptions as a convenient shield for raw protectionism. From a structural perspective, the ongoing paralysis of the WTO Appellate Body poses an immediate threat to low-income economies. Without a functioning, two-tier dispute settlement mechanism, smaller trading nations lose their only mechanism to defend their trade rights on an equal footing against economically dominant powers.⁹²

G-90 countries would position themselves as protectors of the strict, original text of the Marrakesh Agreement, emphasizing that the rule of law is the weapon of the weak while the law of the jungle only benefits the strong.

⁹¹ UNCTAD. (2025). Tariff disruptions [Review of Tariff disruptions]. https://unctad.org/system/files/official-document/osgttinf2025d6_en.pdf

⁹² UNCTAD. (2025). Tariff disruptions [Review of Tariff disruptions]. https://unctad.org/system/files/official-document/osgttinf2025d6_en.pdf

08

QARMAs

- 1 How can the WTO define a legitimate "emergency in international relations" under GATT Article XXI without infringing on states' rights to self-define their own security interests — and should this definition expand to cover modern threats (cyber, critical minerals, data, supply-chain resilience)?
- 2 How can the WTO distinguish between legitimate supply chain resilience and disguised mercantilism?
- 3 What concrete institutional concession can be made to address the United States' concerning "judicial overreach", in order to secure the American unblocking of the Appellate Body judge appointments?
- 4 Should the Multi-Party Interim Appeal Arbitration Arrangement (MPIA) be formalised as a permanent parallel system, or should all diplomatic effort be directed at restoring a universal Appellate Body?
- 5 How can the WTO regulate or integrate exclusive economic alliances (such as AUKUS, technology clubs, or critical mineral partnerships) to ensure they do not permanently violate the Most-Favoured-Nation (MFN) principle?
- 6 What legal disciplines should govern unilateral coercive measures, asset freezes, and export controls invoked on national security grounds, particularly regarding their extraterritorial impact on third-party states?
- 7 If a state's measures are found by a WTO panel to violate Article XXI (i.e., not implemented during a legitimate international emergency), what remedies or non-escalatory countermeasures should the WTO authorise?
- 8 How can the WTO coordinate with the UN to establish binding "humanitarian exemptions" within trade sanctions, ensuring critical food, agricultural inputs, and medical supply chains remain insulated from geoeconomic conflict?

- 9 Who should have the authority to classify a good as “dual-use” for security purposes, and what disciplines, if any, should apply to prevent overclassification as a backdoor trade barrier?
- 10 Should export controls on dual-use and advanced technologies be subject to WTO-level multilateral criteria (as under the Wassenaar Arrangement) or does the current fragmented, unilateral approach best reflect legitimate sovereign discretion?
- 11 Do large-scale, security-justified industrial subsidies (e.g. the CHIPS Act, the Green Deal Industrial Plan) fall outside WTO subsidy disciplines when framed as national security measures, and should the SCM Agreement be updated to address this?
- 12 What specific notification and consultation obligations should accompany a state’s invocation of Article XXI, and what consequences (if any) should follow non-compliance?

Further Readings

The General Agreement on Trade and Transfers (GATT)

US Congress - The "National Security Exception" and the World Trade Organization

US Congress - U.S. Export Controls and China: Advanced Semiconductors

Globalization and Its Discontents by Joseph Stiglitz

The Globalization Paradox by Dani Rodrik

Trade Wars Are Class Wars by Matthew C. Klein and Michael Pettis

Populism and the Economics of Globalization by Dani Rodrik

Preventing the Bad from Getting Worse: The End of the World (Trade Organization) As We Know It?
Bernard M. Hoekman and Petros C. Mavroidis

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